

Required Quiz 5.1: Week 5 Quiz

Due Apr 19 at 11:59pm **Points 20** **Questions 20**
Available Apr 6 at 12am - Apr 19 at 11:59pm **Time Limit 30 Minutes**

Instructions

 Learning Outcome Addressed

- Demonstrate the ability to assess and manage financial risks and recommend an optimum capital portfolio for a firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, April 19, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submissions deadline.

Note: This is a graded quiz and counts towards course completion.

This quiz was locked Apr 19 at 11:59pm.

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	7 minutes	20 out of 20

Score for this quiz: 20 out of 20
Submitted Apr 12 at 8:58am
This attempt took 7 minutes.

Question 1

1 / 1 pts

Business risk is:

Correct!

☒ Risk due to company operations

☐ Interest rate risk

☐ Political risk

☐ Market-wide risk

That's correct!

Question 2

1 / 1 pts

Higher risk generally leads to:

Correct!

☒ Higher expected return

☐ Fixed return

☐ Lower return

☐ No return

That's correct!

Question 3

1 / 1 pts

Market risk cannot be:

☐ Managed

☐ Measured

☐ Mitigated

☐ Monitored

Submission Details:

Time:	7 minutes
Current Score:	20 out of 20
Kept Score:	20 out of 20

Correct!

- ☒ Reduced by diversification
- ☐ Calculated

That's correct!

Question 4

1 / 1 pts

A risk-free asset has:

Correct!

- ☒ Zero beta
- ☐ High beta
- ☐ Beta greater than 1
- ☐ Negative beta

That's correct!

Question 5

1 / 1 pts

Expected return is:

Correct!

- ☐ Guaranteed return
- ☐ Historical return
- ☐ Dividend only
- ☒ Weighted average of possible returns

That's correct!

Question 6

1 / 1 pts

Unsystematic risk can be reduced by:

Correct!

- ☐ Increasing debt
- ☐ Increasing market risk
- ☒ Diversification
- ☐ Ignoring market

That's correct!

Question 7

1 / 1 pts

Interest rate risk mainly affects:

Correct!

- ☐ Cash only
- ☒ Bonds
- ☐ Inventory
- ☐ Equity only

That's correct!

Question 8

1 / 1 pts

If $\text{Beta} > 1$, the security is:

- ☐ Less volatile than market

Correct!

- More volatile than market
- Independent of market
- Risk-free

That's correct!

Question 9

1 / 1 pts

Risk premium is:

Correct!

- Return above risk-free rate
- Market rate
- Total return
- Dividend only

That's correct!

Question 10

1 / 1 pts

The basic principle of investment is:

Correct!

- No relationship
- No risk, high return
- High risk, high return
- High risk, low return

That's correct!

Question 11

1 / 1 pts

Company strike affecting only one firm is:

Correct!

- Interest rate risk
- Unsystematic risk
- Market risk
- Systematic risk

That's correct!

Question 12

1 / 1 pts

Standard deviation measures:

Correct!

- Total risk
- Interest rate
- Dividend rate
- Average return

That's correct!

Question 13

1 / 1 pts

Total risk consists of:

Correct!

☐ Financial risk only

☐ Business risk only

☒ Systematic + Unsystematic risk

☐ Political risk only

That's correct!

Question 14 1 / 1 pts

Risk in finance refers to:

☐ Certain loss

☐ Possibility of loss only

☐ Fixed return

Correct! ☒ Uncertainty of returns

That's correct!

Question 15 1 / 1 pts

Political risk is an example of:

☐ Company-specific risk

Correct! ☒ Systematic risk

☐ Market risk

☐ Operational risk

That's correct!

Question 16 1 / 1 pts

Inflation risk is an example of:

☐ Unsystematic risk

☐ Market risk

☐ Operational risk

Correct! ☒ Systematic risk

That's correct!

Question 17 1 / 1 pts

Return is:

Correct! ☒ Income plus capital appreciation

☐ Only dividend

☐ Only capital gain

☐ Face value

That's correct!

Question 18 1 / 1 pts

If Beta = 1, the security:

- ☐ Has double risk
- ☐ Is less risky than market
- ☒ Has same risk as market
- ☐ Is risk-free

Correct!

That's correct!

Question 19

1 / 1 pts

Higher volatility implies:

- ☒ Higher risk
- ☐ No change
- ☐ Fixed return
- ☐ Lower risk

Correct!

That's correct!

Question 20

1 / 1 pts

Liquidity risk refers to:

- ☐ Risk of bankruptcy
- ☐ Inflation
- ☒ Risk of not being able to sell asset quickly
- ☐ Interest fluctuation

Correct!

That's correct!

Quiz Score: 20 out of 20

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